

NAME: ..... SIGNATURE: .....

ENTREPRENEURSHIP  
EDUCATION  
AUGUST 2025  
3 HOURS



**NYABIKONI SECONDARY SCHOOL**  
Uganda Advanced Certificate of Education  
**END OF TERM II ASSESSMENT 2025**  
S.5 ENTREPRENEURSHIP EDUCATION  
PAPER 1  
(THEORY)  
3 Hours

**INSTRUCTIONS**

- *This paper consists of three sections A, B and C.*
- *Section A has one compulsory item.*
- *Choose three items from section B and C choosing at least one from each of the sections B and C.*
- *Justify in each case.*

## SECTION A

### Item One

Grace is a Secretary of school Entrepreneurship Club at Elite International School. The club is organizing a one-day business seminar for students and invited a guest speaker from a local financial institution. However Grace has no idea to spread information to different people involved in the event. She does not know how to write invitation letter, memo or even how to design a poster to inform students.

She also needs to seek permission from the headmaster to use school main hall but is confused which communication to use.

### Task

Using your entrepreneurship;

Guide Grace on how she can convey information to;

- a) (i) Chief guest  
(ii) Head teacher  
(iii) Fellow club members
- b) Publish a notice to all community member of Bugabo where the school is located about the need to sensitize them on entrepreneurial activities.
- c) Guide her fellow club members on the relevancies of effective communication.

## SECTION B

### Item Two

Rachael has acquired a loan of Shs. 20,000,000. She would like to produce Juice for sale since she has been carrying out research to understand different consumer needs. Before, acquiring a loan Rachael agreed with her bank “Cairo Bank” on the following terms.

The loan was payable in 5 equal monthly installments starting with August.

The interest rate was 8% on reducing balance. She also wants to develop a suitable plan to help her market her products but lacked the required skills.

### Task

Using your entrepreneurship skills, guide Rachael to;

- a) Develop a suitable plan that will help her to determine his possible position of her business in present market situation
- b) Prepare a schedule for proper repayment of loan.
- c) Guide her on measures of improving quality.

### **Item Three**

Tonny owns a commercial room in Butare trading Centre near Boda Boda stage 500M away from Ishaka – Kasese road and the place is surrounded by many institutions. He has working as a human Resource Manager in Igara growers Tea Factory and has saved Shs 10,000,000. He had a personal saving of Shs 3,000,000 from his previous salaries, he also got a contribution of 5,000,000 from his family members.

And his dream business is either to open up a restaurant, Boutique or Salon. His worry is also on how to plan for his expenditure and apportion his saving to different financial needs and expenditure.

### **Task**

- a) With Justification, guide Tonny to select a suitable business opportunity.
- b) Come up with a plan to estimate his financial requirements for his selected business.
- c) Guide him to estimate, startup expense budget for the selected business.

### **Item Four**

In Mbarara District, a group of Senior Five students from St. Mary’s Secondary School noticed that many children in the nearby village of Katete were dropping out of school due to poverty. They decided to form a social enterprise called “Light of hope Youth group” to help solve this problem.

The group started by collecting used clothes, shoes and books from students and teachers. They cleaned and sold them cheaply in the community. They also made re-usable bags from old fabric to sell which helped them reduce plastic pollution.

As their work gained attention, a local NGO called “Save the future Uganda” supported them financially by donating scholastic materials and helping them buying sewing machines to improve their bag making business.

They also organized weekend lessons to help pupils improve reading and mathematics. This helps many children return to school, protected environment and gave students skills in both business and community service.

### **Task**

- a) With clear justification, what did the students aim at to solve in their community?



- b) How do such related group business help to solve community problems and create social impact?
- c) How is this project different from ordinary business?

## SECTION C

### Item Five

Peter runs a small retail shop in Kanyabwanga Trading Centre. He buys different trading items from suppliers and sell them to community members.

Recently he ran out of stock since he didn't notify his suppliers in time. Sometimes he offers credit facilities to different customers and fail to identify them as time goes. He has been advised to keep proper records after losing track of some payments and deliveries.

He decided to start using different source documents like receipts, invoices, purchase orders and delivery notes to track all records.

Now Peter wants to understand how to properly use these documents to keep accurate business records to avoid confusion.

### Task

Using entrepreneurship skills;

- a) Help Peter to design such documents
- b) Design for him a programme for acquiring different business inputs.

### Item Six

The table below relates to expected sales of Mukisa Entreprise for the months of Jan to April 2025

| Months      | January    | February   | March      | April      |
|-------------|------------|------------|------------|------------|
| Sales (Shs) | 60,000,000 | 70,000,000 | 50,000,000 | 90,000,000 |

Note:

- (i) The company receives 65% of sales in the month of sale and the balance in the next month.
- (ii) The company is to receive extra share capital in the months of January and March of shs. 20,000,000 respectively.
- (iii) The company expects a loan of Shs 18,000,000.
- (iv) There is a rent refund of shs. 3,200,000 in February.
- (v) In the month of March it expects a grant of Shs. 4,500,000.

- (vi) The company expects to buy raw materials worth 40% of each month's sales.
- (vii) The company expects to pay salaries to workers Shs. 12,200,000 @month.
- (viii) Electricity charges are projected at Shs. 2,000,000 per month.
- (ix) The returns to URA per month is to be Shs. 3,600,000.
- (x) Payment of water bills per month is to be shs. 3,500,000.
- (xi) Loan repayment per month is expected to be Shs. 3,500,000 beginning with the month that follows the acquisition of loan.
- (xii) Cash balance as per 31<sup>st</sup> December 2024 was Shs. 22,540,000.

### **Task**

Use your entrepreneurship skills to;

- a) Determine the Net cash position for the above period.
- b) Advise him on the relevancies of having the above statement.
- c) Advise him on what he can do to save the situation in case of a given negative cash position.

**END**